

NIMBUS RETAIL HOLDINGS, INC.

FY2025 Audit Planning & Risk Assessment Memorandum Fiscal Year Ended December 31, 2025

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Document Reference: NRH-PLAN-2025-01

Prepared by: Engagement Team (fictional)

Reviewed by: Engagement Quality Reviewer (fictional)

Related document: NRH-ACC-2025-01 (Accounting Policies & Internal Controls Narrative)

1. Engagement Overview

This memorandum documents the planning and risk assessment procedures performed for the audit of Nimbus Retail Holdings, Inc. ("Nimbus" or "the Company") for the fiscal year ended December 31, 2025. The audit is conducted in accordance with U.S. Generally Accepted Auditing Standards (GAAS), as Nimbus is a privately held company not subject to PCAOB oversight. This is the third consecutive year the engagement team has served this client. There were no changes in the terms of the engagement from the prior year.

Nimbus operates 142 retail store locations and a direct-to-consumer e-commerce platform, with three distribution centers. The Company's fiscal year ends December 31. Financial statements are prepared in accordance with U.S. GAAP for distribution to the Company's lending syndicate and institutional shareholders.

2. Materiality

Basis	Amount	Rationale
Planning materiality	\$3,400,000	Approximately 5% of a three-year average of pretax income
Performance materiality	\$2,550,000	75% of planning materiality, reflecting moderate aggregation risk
Trivial threshold (SAD)	\$170,000	5% of planning materiality; misstatements below this are not accumulated

Planning materiality was determined using pretax income as the benchmark, as it is considered the metric most relevant to the Company's institutional lenders and shareholders. Materiality will be reassessed at year-end fieldwork if actual results differ significantly from the interim estimates used above.

3. Fraud Risk Assessment

In accordance with AU-C 240, the engagement team applied the presumption that improper revenue recognition is a fraud risk. This presumption is considered rebuttable; however, the team has not identified sufficient evidence to rebut it for Nimbus given the volume of manual adjustments historically made to loyalty program breakage estimates. Accordingly, revenue recognition, specifically the timing and estimation of loyalty point breakage, is treated as a fraud risk area requiring heightened professional skepticism and unpredictable audit procedures.

The team also considered the risk of management override of controls, which is presumed present in all engagements per AU-C 240. Planned procedures to address this risk include: (i) testing the appropriateness of journal entries and other adjustments, with a focus on entries posted directly to revenue or reserve accounts by senior finance personnel outside of the standard month-end close process; (ii) reviewing accounting estimates for biases; and (iii) evaluating the business rationale for significant unusual transactions.

No specific fraud risk factors related to related-party transactions were identified beyond those already disclosed and approved through the Company's related-party transaction policy (see Section 5 of the Accounting Policies & Internal Controls Narrative, document NRH-ACC-2025-01).

4. Significant Risks Identified

4.1 Revenue Recognition — Loyalty Program Breakage Estimate

Estimating breakage on the Nimbus Perks loyalty program requires significant management judgment regarding historical redemption patterns. A change in the breakage assumption of even 2 percentage points would affect revenue by approximately \$610,000. Planned response: test the breakage model's methodology, recalculate a sample of point balances, and compare current-year assumptions to actual redemption behavior observed in the current and prior year.

4.2 Inventory Reserve for Excess and Obsolete Merchandise

The aging-based reserve methodology involves estimation and is subject to management override via manual adjustments for planned clearance events. Planned response: test the aging report population for completeness and accuracy, recalculate the reserve per the stated methodology, and obtain corroboration for any manual override adjustments made during the year.

4.3 Litigation Contingency — California Wage-and-Hour Matter

The \$2.1 million accrual recorded for the pending class action requires significant judgment and relies on an estimate provided by outside legal counsel. Planned response: obtain a legal confirmation letter from outside counsel, evaluate the reasonableness of the recorded accrual against the disclosed range of reasonably possible loss (\$1.5 million to \$4.0 million), and assess the adequacy of related financial statement disclosures.

4.4 Lease Discount Rate (Incremental Borrowing Rate)

Since the rate implicit in the Company's leases is not readily determinable, management estimates an incremental borrowing rate for purposes of lease liability measurement under ASC 842. Planned response: evaluate the reasonableness of the rate used (7.1% weighted average) against observable market data for similarly-rated borrowers with comparable collateral and term.

5. IT Environment and General Controls Scope

Nimbus's financial reporting relies primarily on its ERP system (NetSuite) for procurement, accounts payable, and general ledger functions, and a separate point-of-sale (POS) platform for store-level revenue transactions, which interfaces nightly with NetSuite. The engagement team's IT specialist will test information technology general controls (ITGCs) in the following domains for both systems: user access provisioning and deprovisioning, periodic access recertification, change management for system modifications, and computer operations (batch job monitoring and interface completeness between the POS system and the general ledger).

No significant changes to the IT environment were identified during the current year planning procedures. The Company completed a POS platform version upgrade in June 2025, which will be evaluated as part of change management testing.

6. Audit Approach by Significant Account

Account	Approach	Rationale
Revenue	Combined (controls + substantive)	High volume, fraud-risk presumption applies
Inventory	Substantive, with reliance on cycle counts	Moderate estimation risk in reserves
Accounts Payable / Accrued Liabilities	Combined	Effective procure-to-pay controls noted in prior year
Leases (ROU asset / liability)	Substantive	Single significant estimate (discount rate); low transaction volume
Litigation Contingencies	Substantive	Single significant matter; low volume, high judgment

7. Team Composition and Independence

The engagement team consists of an Engagement Partner, an Engagement Quality Reviewer, a Senior Manager, two Seniors, and three Staff, along with an IT specialist supporting ITGC testing described in Section 5. All engagement team members completed the firm's annual independence confirmation process prior to the start of fieldwork, and no independence matters were identified with respect to Nimbus or its officers, directors, or affiliates.

8. Key Dates

Milestone	Date
Interim fieldwork (controls testing)	September 15 – 26, 2025
Physical inventory observation (distribution centers)	November 17, 2025
Year-end fieldwork begins	January 12, 2026
Draft financial statements due	February 6, 2026
Target report issuance date	February 20, 2026

End of document. Reminder: this is a fictional mock document created for testing a document Q&A application and does not represent real financial, legal, or audit information.